



Bill Number: H.B. 2477

Kavanagh ADD COW Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Requires the State Treasurer to only invest in safe investments that prioritize safety and principal preservation before high returns, liquidity and yield.
2. Prohibits the State Treasurer from:
 - a) using any insider information obtained while performing official duties to knowingly benefit another party or for any personal gain or for the personal gain of any family member of the State Treasurer; and
 - b) investing in speculative investments.
3. Specifies that the interests of the State Treasurer's office must take precedence over any personal interests of the State Treasurer.
4. Requires the State Treasurer to establish and oversee an investment advisory team and prescribes investment advisory team membership.
5. Requires the investment advisory team to meet as necessary to review and make appropriate recommendations to the State Board of Investment pertaining to investment performance and strategies and prioritizing safety and principal preservation before liquidity and yield.
6. Adds, to the statutory restrictions on the State Treasurer's investment of public monies, a prohibition against investments in real estate using permanent land funds or any fund administered by the State Treasurer.
7. Requires the State Treasurer to manage the Local Government Investment Pool by using only employees of the State Treasurer's Office and allows the State Treasurer to confer with the State Board of Investment as necessary.
8. Allows the State Treasurer to enter into a contract with a third party as a contingency if the State Treasurer is unable to conduct their fiduciary duty only for the time period that the State Treasurer's Office is unable to conduct such fiduciary duty.
9. Defines terms.
10. Makes technical changes.

ADDITIONAL COW
KAVANAGH FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2477
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-1871, Arizona Revised Statutes, is amended to
3 read:

4 15-1871. Definitions

5 In this article, unless the context otherwise requires:

6 1. "Account" means an individual trust account in the fund that is
7 established as prescribed in this article.

8 2. "Account owner" means the person who enters into a tuition
9 savings agreement pursuant to this article, who is an account owner within
10 the meaning of section 529 of the internal revenue code and who is
11 designated at the time an account is opened as having the right to
12 withdraw monies from the account before the account is disbursed to or for
13 the benefit of the designated beneficiary.

14 3. "Board" means the state board of investment.

15 4. "Designated beneficiary" means a person who qualifies as a
16 designated beneficiary under section 529 of the internal revenue code and,
17 except as provided in section 15-1875, subsections P and Q, with respect
18 to an account, who is designated at the time the account is opened as the
19 person whose qualified higher education expenses are expected to be paid
20 from the account or, if this designated beneficiary is replaced in
21 accordance with section 15-1875, subsections D, E and F, the replacement
22 beneficiary.

23 5. "Eligible educational institution" means an institution of
24 higher education that qualifies under section 529 of the internal revenue
25 code as an eligible educational institution.

26 6. "Financial institution" means the state treasurer's office or
27 any bank, commercial bank, national bank, savings bank, savings and loan

1 association, credit union, insurance company, brokerage firm or other
2 similar entity that is authorized to do business in this state.

3 7. "Fund" means AZ529, Arizona's education savings plan trust fund
4 that constitutes a public instrumentality of this state and that is
5 established by section 15-1873.

6 8. "Member of the family" ~~means any of the following:~~

7 ~~(a) A son or daughter of a person or a descendant of the son or~~
8 ~~daughter of the person.~~

9 ~~(b) A stepson or stepdaughter of a person.~~

10 ~~(c) A brother, sister, stepbrother or stepsister of a person. For~~
11 ~~the purposes of this subdivision, "brother" and "sister" includes a~~
12 ~~brother or sister by the half-blood.~~

13 ~~(d) The father or mother of a person or the ancestor of the father~~
14 ~~or mother of a person.~~

15 ~~(e) A stepfather or stepmother of a person.~~

16 ~~(f) A son or daughter of a person's brother or sister. For the~~
17 ~~purposes of this subdivision, "brother" and "sister" includes a brother or~~
18 ~~sister by the half-blood.~~

19 ~~(g) A brother or sister of the person's father or mother. For the~~
20 ~~purposes of this subdivision, "brother" and "sister" includes a brother or~~
21 ~~sister by the half-blood.~~

22 ~~(h) A son-in-law, daughter-in-law, father-in-law, mother-in-law,~~
23 ~~brother-in-law or sister-in-law of a person.~~

24 ~~(i) The spouse of a person or the spouse of any individual~~
25 ~~described in this paragraph.~~

26 ~~(j) A first cousin of a person.~~

27 ~~(k) Any individual who meets the criteria for family membership~~
28 ~~described in this paragraph as a result of legal adoption. HAS THE SAME~~
29 ~~MEANING PRESCRIBED IN SECTION 529 OF THE INTERNAL REVENUE CODE.~~

30 9. "Nonqualified withdrawal" means a withdrawal from an account
31 other than one of the following:

32 (a) A qualified withdrawal.

33 (b) A withdrawal made as the result of the death or disability of
34 the designated beneficiary of an account.

35 (c) A withdrawal that is made on the account of a scholarship, or
36 the allowance or payment described in section 135(d)(1)(B) or (C) of the
37 internal revenue code, and that is received by the designated beneficiary,
38 but only to the extent of the amount of this scholarship, allowance or
39 payment.

40 (d) A rollover or change of designated beneficiary.

41 10. "Person" means an individual, an individual's legal
42 representative or any other legal entity authorized to establish a savings
43 account under section 529 of the internal revenue code and the
44 corresponding regulations.

45 11. "Plan" means AZ529, Arizona's education savings plan that is
46 established under this article and that constitutes a qualified tuition
47 program as defined in section 529 of the internal revenue code.

1 12. "Qualified higher education expenses" ~~:-~~

2 ~~(a) Means:~~

3 ~~(i) Tuition, fees, books, supplies, room and board and equipment~~
4 ~~required for a designated beneficiary to enroll at or attend an eligible~~
5 ~~educational institution.~~

6 ~~(ii) Expenses for special needs services in the case of a special~~
7 ~~needs beneficiary that are incurred in connection with enrolling or~~
8 ~~attending, if these expenses meet the definition of qualified higher~~
9 ~~education expenses in section 529 of the internal revenue code.~~

10 ~~(iii) Expenses to purchase a computer, peripheral equipment,~~
11 ~~computer software or internet access and related services if the computer~~
12 ~~equipment, software or services are to be used primarily by the~~
13 ~~beneficiary during the years the beneficiary is enrolled at an eligible~~
14 ~~educational institution and if these expenses meet the definition of~~
15 ~~qualified higher education expenses in section 529 of the internal revenue~~
16 ~~code.~~

17 ~~(iv) Expenses for fees, books, supplies and equipment required for~~
18 ~~a designated beneficiary to participate in an apprenticeship program that~~
19 ~~is registered and certified with the United States secretary of labor~~
20 ~~under section 1 of the national apprenticeship act (50 Stat. 664; 29~~
21 ~~United States Code section 50) if these expenses meet the definition of~~
22 ~~qualified higher education expenses in section 529 of the internal revenue~~
23 ~~code.~~

24 ~~(b) Includes tuition to enroll in or attend an elementary or~~
25 ~~secondary public, private or religious school pursuant to section 529 of~~
26 ~~the internal revenue code.~~

27 ~~(c) Includes amounts paid as principal or interest on any qualified~~
28 ~~education loan as defined in section 221(d) of the internal revenue code~~
29 ~~of the designated beneficiary or a brother, sister, stepbrother or~~
30 ~~stepsister of the designated beneficiary pursuant to section 529 of the~~
31 ~~internal revenue code. HAS THE SAME MEANING PRESCRIBED IN SECTION 529 OF~~
32 ~~THE INTERNAL REVENUE CODE, AS MODIFIED BY 26 UNITED STATES CODE SECTION~~
33 ~~529(c)(7) AND (9).~~

34 13. "Qualified withdrawal" means a withdrawal from an account to
35 pay any ~~of the following:~~

36 ~~(a) the~~ qualified higher education expenses of the designated
37 beneficiary of the account, but only if the withdrawal is made in
38 accordance with this article, **SUBJECT TO THE FOLLOWING LIMITATIONS: -**

39 ~~(b) (a) Tuition of less than \$10,000~~ **NOT MORE THAN \$20,000 IN THE**
40 **AGGREGATE FOR EXPENSES INCURRED FOR THE DESIGNATED BENEFICIARY** to enroll
41 in or attend an elementary or secondary public, private or religious
42 school pursuant to section 529 of the internal revenue code ~~of the~~
43 ~~designated beneficiary of the account, but only if the withdrawal is made~~
44 ~~in accordance with this article.~~

45 ~~(c) (b)~~ **NOT MORE THAN \$10,000 FOR** amounts paid as principal or
46 interest on any qualified education loan as defined in section 221(d) of
47 the internal revenue code of the designated beneficiary or a brother,

1 sister, stepbrother or stepsister of the designated beneficiary, ~~but only~~
2 ~~if the withdrawal is made in accordance with this article. The amount of~~
3 ~~qualified withdrawals under this article with respect to the loans of any~~
4 ~~designated beneficiary or a brother, sister, stepbrother or stepsister of~~
5 ~~the designated beneficiary may not exceed \$10,000,~~ reduced by the amount
6 of withdrawals so treated for all prior taxable years.

7 14. "Section 529 of the internal revenue code" means section 529 of
8 the internal revenue code of 1986, as amended, and the final regulations
9 issued pursuant to that section.

10 15. "Treasurer" means the state treasurer.

11 16. "Trust interest" means an account owner's interest in the fund
12 created by a tuition savings agreement for the benefit of a designated
13 beneficiary.

14 17. "Tuition savings agreement" means an agreement between the
15 board, as trustee of the fund, and an account owner that creates an
16 interest in the fund and that provides for participation in the plan.

17 Sec. 2. Section 15-1875, Arizona Revised Statutes, is amended to
18 read:

19 15-1875. Plan requirements

20 A. The plan shall be operated through the use of accounts in the
21 fund established by account owners. ACCOUNT OWNERS SHALL MAKE payments to
22 the fund ~~for participation TO PARTICIPATE~~ in the plan ~~shall be made by~~
23 ~~account owners~~ pursuant to tuition savings agreements. An account may be
24 opened by any person who desires to invest in the fund and to save to pay
25 qualified higher education expenses by satisfying each of the following
26 requirements:

27 1. Completing an application in the form prescribed by the
28 treasurer. The application shall include the following information:

29 ~~(a) The name, address and social security number or employer~~
30 ~~identification number of the contributor.~~

31 ~~(b)~~ (a) The name, address and social security number of the
32 account owner if the account owner is not the contributor.

33 ~~(c)~~ (b) The name, address and social security number of the
34 designated beneficiary.

35 ~~(d)~~ (c) The certification relating to no excess contributions
36 required by subsection L of this section.

37 ~~(e)~~ (d) Any other information that the treasurer may require.

38 2. Paying the onetime application fee established by the treasurer.

39 3. Making the minimum contribution required by the treasurer or by
40 opening an account.

41 4. Designating the type of account to be opened if more than one
42 type of account is offered.

43 B. Any person may make contributions to an account after the
44 account is opened.

45 C. Contributions to accounts may be made only in cash.

46 D. An account owner may change the designated beneficiary of an
47 account to an individual who is a member of the family of the former

1 designated beneficiary in accordance with procedures established by the
2 treasurer.

3 E. On the direction of an account owner, all or a portion of an
4 account may be transferred to another account of which the designated
5 beneficiary is a member of the family of the designated beneficiary of the
6 transferee account.

7 F. Changes in designated beneficiaries and rollovers under this
8 section are not allowed if the changes or rollovers would violate either
9 of the following:

10 1. Subsection L of this section, relating to excess contributions.

11 2. Subsection I of this section, relating to investment choice.

12 G. Each account shall be maintained separately from each other
13 account under the plan.

14 H. Separate records and accounting shall be maintained for each
15 account for each designated beneficiary.

16 I. A contributor to, account owner of or designated beneficiary of
17 any account may not direct the investment, within the meaning of section
18 529 of the internal revenue code, of any contributions to an account or
19 the earnings from the account.

20 J. If the treasurer terminates the authority of a financial
21 institution to hold accounts and accounts must be moved from that
22 financial institution to another financial institution, the treasurer
23 shall select the financial institution and type of investment to which the
24 balance of the account is moved unless the internal revenue service
25 provides guidance stating that allowing the account owner to select among
26 several financial institutions that are then contractors would not cause a
27 plan to cease to be a qualified tuition plan.

28 K. Neither an account owner nor a designated beneficiary may use an
29 interest in an account as security for a loan. Any pledge of an interest
30 in an account is of no force and effect.

31 L. On the recommendation of the treasurer, the board shall adopt
32 rules to prevent contributions on behalf of a designated beneficiary in
33 excess of those necessary to pay the qualified higher education expenses
34 of the designated beneficiaries. The rules shall address the following:

35 1. Procedures for aggregating the total balances of multiple
36 accounts established for a designated beneficiary.

37 2. The establishment of a maximum total balance for the purpose of
38 prohibiting contributions to accounts established for a designated
39 beneficiary if the contributions would cause the maximum total balance to
40 be exceeded.

41 3. The board shall review the quarterly reports received from
42 participating financial institutions and certify that the balance in all
43 qualified tuition programs, as defined in section 529 of the internal
44 revenue code, of which that person is the designated beneficiary does not
45 exceed the lesser of:

46 (a) A maximum college savings amount established by the board from
47 time to time.

1 (b) The cost in current dollars of qualified higher education
2 expenses that the contributor reasonably anticipates the designated
3 beneficiary will incur.

4 4. Requirements that any excess contributions with respect to a
5 designated beneficiary be promptly withdrawn in a nonqualified withdrawal
6 or rolled over to another account in accordance with this section.

7 M. If there is any distribution from an account to any person or
8 for the benefit of any person during a calendar year, the distribution
9 shall be reported to the internal revenue service and the account owner or
10 the designated beneficiary to the extent required by federal law.

11 N. The financial institution shall provide statements to each
12 account owner at least once each year within thirty-one days after the
13 twelve-month period to which ~~they~~ THE STATEMENTS relate. ~~The~~ EACH
14 statement shall identify the contributions made during a preceding twelve-
15 month period, the total contributions made through the end of the period,
16 the value of the account as of the end of this period, distributions made
17 during this period and any other matters that the treasurer requires be
18 reported to the account owner.

19 O. Statements and information returns relating to accounts shall be
20 prepared and filed to the extent required by federal or state tax law.

21 P. A state or local government or organizations described in
22 section 501(c)(3) of the internal revenue code may open and become the
23 account owner of an account to fund scholarships for persons whose
24 identity will be determined after an account is opened.

25 Q. In the case of any account described in subsection P of this
26 section, the requirement that a designated beneficiary be designated when
27 an account is opened does not apply and each person who receives an
28 interest in the account as a scholarship shall be treated as a designated
29 beneficiary with respect to the interest.

30 R. Any social security numbers, addresses or telephone numbers of
31 individual account ~~holders~~ OWNERS and designated beneficiaries that come
32 into the possession of the treasurer are confidential, are not public
33 records and shall not be released by the treasurer.

34 S. An account owner may transfer ownership rights to another
35 eligible account owner.

36 T. An account owner may designate successor account owners.

37 U. ~~Through December 31, 2025,~~ On direction of an account owner, ~~up~~
38 ~~to \$15,000~~ ALL OR A PORTION of an account may ~~roll over~~ BE TRANSFERRED to
39 an achieving a better life experience act account established pursuant to
40 26 United States Code section 529A IF THE DESIGNATED BENEFICIARY OF THE
41 ACCOUNT THAT IS ESTABLISHED PURSUANT TO THIS ARTICLE IS EITHER THE
42 DESIGNATED BENEFICIARY OR A MEMBER OF THE FAMILY OF THE DESIGNATED
43 BENEFICIARY OF THE TRANSFEREE ACCOUNT.

44 V. ON DIRECTION OF AN ACCOUNT OWNER, ALL OR A PORTION OF AN ACCOUNT
45 MAY BE TRANSFERRED TO A ROTH INDIVIDUAL RETIREMENT ACCOUNT THAT SATISFIES
46 THE REQUIREMENTS OF SECTION 408A OF THE INTERNAL REVENUE CODE IF ALL OF
47 THE FOLLOWING CONDITIONS ARE MET:

1 1. THE ACCOUNT ESTABLISHED PURSUANT TO THIS ARTICLE IS MAINTAINED
2 BY THE DESIGNATED BENEFICIARY FOR AT LEAST FIFTEEN YEARS BEFORE THE
3 TRANSFER DATE.

4 2. THE MONIES THAT ARE TRANSFERRED PURSUANT TO THIS SUBSECTION ARE
5 DERIVED FROM CONTRIBUTIONS THAT WERE MADE TO THE ACCOUNT ESTABLISHED
6 PURSUANT TO THIS SECTION AT LEAST FIVE YEARS BEFORE THE TRANSFER DATE AND
7 FROM THE EARNINGS ATTRIBUTABLE TO THOSE CONTRIBUTIONS.

8 3. THE DESIGNATED BENEFICIARY OF THE ACCOUNT THAT IS ESTABLISHED
9 PURSUANT TO THIS ARTICLE IS THE DESIGNATED BENEFICIARY OF THE ROTH
10 INDIVIDUAL RETIREMENT ACCOUNT TO WHICH THE TRANSFER IS MADE.

11 4. THE TOTAL AMOUNT OF MONIES TRANSFERRED PURSUANT TO THIS
12 SUBSECTION AND ALL OTHER CONTRIBUTIONS TO THE ROTH INDIVIDUAL RETIREMENT
13 ACCOUNT FOR THE DESIGNATED BENEFICIARY IN ANY YEAR DO NOT EXCEED THE
14 ANNUAL ROTH INDIVIDUAL RETIREMENT ACCOUNT CONTRIBUTION LIMIT FOR THE
15 DESIGNATED BENEFICIARY.

16 5. THE AGGREGATE AMOUNT OF MONIES TRANSFERRED FROM ANY ACCOUNT THAT
17 IS ESTABLISHED PURSUANT TO THIS ARTICLE TO ALL ROTH INDIVIDUAL RETIREMENT
18 ACCOUNTS FOR THE DESIGNATED BENEFICIARY DOES NOT EXCEED \$35,000.

19 <<Sec. 3. Section 35-323, Arizona Revised Statutes, is amended to
20 read:

21 35-323. Investment of public monies: bidding; security and
22 other requirements

23 A. The treasurer shall invest and reinvest public monies in
24 securities and deposits with a maximum maturity of five years. All public
25 monies shall be invested in eligible investments. Eligible investments
26 are:

27 1. Certificates of deposit in eligible depositories.

28 2. Deposits in one or more federally insured banks or savings and
29 loan associations placed in accordance with the procedures prescribed in
30 section 35-323.01.

31 3. ~~[Interest-bearing]~~ [INTEREST-BEARING] savings accounts in banks
32 and savings and loan institutions doing business in this state whose
33 accounts are insured by federal deposit insurance for their industry, but
34 only if deposits of more than the insured amount are secured by the
35 eligible depository to the same extent and in the same manner as required
36 under this article.

37 4. Repurchase agreements with a maximum maturity of one hundred
38 eighty days.

39 5. The pooled investment funds established by the state treasurer
40 pursuant to section 35-326.

41 6. Obligations issued or guaranteed by the United States or any of
42 the senior debt of its agencies, sponsored agencies, corporations,
43 sponsored corporations or instrumentalities.

44 7. Bonds, notes or other evidences of indebtedness of this state or
45 any of its counties, incorporated cities or towns, school districts or
46 special taxing districts, including registered warrants, substitute

1 checks, and electronic funds transfer vouchers that bear interest pursuant
2 to section 11-635.

3 8. Bonds, notes or evidences of indebtedness of any county,
4 municipal district, municipal utility or special taxing district of any
5 state that are payable from revenues, earnings or a special tax
6 specifically pledged for the payment of the principal of and interest on
7 the obligations, and for the payment of which a lawful sinking fund or
8 reserve fund has been established and is being maintained, but only if a
9 default in payment on principal or interest on the obligations to be
10 purchased has not occurred within five years after the date of investment,
11 or, if such obligations were issued ~~[less]~~ [FEWER] than five years before
12 the date of investment, a default in payment of principal or interest has
13 not occurred on the obligations to be purchased or any other obligations
14 of the issuer within five years after the investment.

15 9. Bonds, notes or evidences of indebtedness issued by any county
16 improvement district or municipal improvement district of any state to
17 finance local improvements authorized by law, if the principal and
18 interest of the obligations are payable from assessments on real property
19 within the improvement district. An investment shall not be made if:

20 (a) The face value of all such obligations, and similar obligations
21 outstanding, exceeds fifty percent of the market value of the real
22 property, and if improvements on which the bonds or the assessments for
23 the payment of principal [OE] and interest on the bonds are liens inferior
24 only to the liens for general ad valorem taxes.

25 (b) A default in payment of principal [OE] or interest on the
26 obligations to be purchased has occurred within five years after the date
27 of investment, or, if the obligations were issued ~~[less]~~ [FEWER] than five
28 years before the date of investment, a default in the payment of principal
29 or interest has occurred on the obligations to be purchased or on any
30 other obligation of the issuer within five years after the investment.

31 10. Commercial paper of prime quality that is rated within the top
32 two ratings by a nationally recognized rating agency. All commercial
33 paper must be issued by corporations organized and doing business in the
34 United States.

35 11. Bonds, debentures, notes or other evidences of indebtedness
36 that are denominated in United States dollars and that carry at a minimum
37 an "A" or better rating, at the time of purchase, from at least two
38 nationally recognized rating agencies.

39 12. Negotiable or brokered certificates of deposit issued by a
40 nationally or state-chartered bank or savings and loan association.

41 13. Securities of or any other interests in any open-end or
42 closed-end management type investment company or investment trust,
43 including exchange traded funds whose underlying investments are invested
44 in securities allowed by state law, registered under the investment
45 company act of 1940 (54 Stat. 789; 15 United States Code sections 80a-1
46 through 80a-64), as amended.

1 B. Certificates of deposit shall be purchased from the eligible
2 depository bidding the highest permissible rate of interest. Monies over
3 \$100,000 may not be awarded at any interest rate less than one hundred
4 three percent of the equivalent bond yield of the offer side of United
5 States treasury bills having a similar term. If the eligible depository
6 offering to pay the highest rate of interest has bid only for a portion of
7 the monies to be awarded, the remainder of the monies shall be awarded to
8 eligible depositories bidding the next highest rates of interest.

9 C. An eligible depository is not eligible to receive total
10 aggregate deposits from this state and all its subdivisions in an amount
11 exceeding twice its capital structure as outlined in the last call of
12 condition of the deputy director of the financial institutions division of
13 the department of insurance and financial institutions.

14 D. If two or more eligible depositories submit bids of an identical
15 rate of interest for all or any portion of the monies to be deposited, the
16 award of the deposit of the monies shall be made to the eligible
17 depository among those submitting identical bids having, at the time of
18 the bid opening, the lowest ratio of total public deposits in relation to
19 its capital structure.

20 E. Each bid that is submitted and not withdrawn before the time
21 specified constitutes an irrevocable offer to pay interest as specified in
22 the bid on the deposit, or portion bid for, and the award of a deposit in
23 accordance with this section obligates the depository to accept the
24 deposit and pay interest as specified in the bid pursuant to which the
25 deposit is awarded.

26 F. The treasurer shall maintain a record of all bids received and
27 shall make available to the board of deposit at its next regularly
28 scheduled meeting a correct list showing the bidders, the bids received
29 and the amount awarded. These records shall be available to the public
30 and shall be kept in the possession of the treasurer for at least two
31 years after the date of the report.

32 G. Any eligible depository, before receiving a deposit of more than
33 the insured amount under this article, shall deliver collateral for the
34 purposes of this subsection equal to at least one hundred two percent of
35 the deposit. The collateral shall be any of the following:

36 1. A bond executed by a surety company that is approved by the
37 treasury department of the United States and authorized to do business in
38 this state. The bond shall be approved as to form by the legal advisor of
39 the treasurer.

40 2. Securities or instruments of the following character:

41 (a) United States government or agency obligations.

42 (b) State, county, school district and other district municipal
43 bonds.

44 3. The safekeeping receipt of a federal reserve bank or any bank
45 located in a reserve city, or any bank authorized to do business in this
46 state, whose combined capital, surplus and outstanding capital notes and
47 debentures on the date of the safekeeping receipt are \$10,000,000 or more,

1 evidencing the deposit therein of any securities or instruments described
2 in this section. A safekeeping receipt shall not qualify as security, if
3 issued by a bank to secure its own public deposits, unless issued directly
4 through its trust department. The safekeeping receipt shall show on its
5 face that it is issued for the account of the treasurer and shall be
6 delivered to the treasurer. The safekeeping receipt may provide for the
7 substitution of securities or instruments that qualify under this section
8 with the affirmative act of the treasurer.

9 4. Letters of credit issued by a federal home loan bank if:

10 (a) The letter of credit has been delivered pursuant to this
11 section or chapter 10, article 1 of this title to the statewide collateral
12 pool administrator.

13 (b) The letter of credit meets the required conditions of:

14 (i) Being irrevocable.

15 (ii) Being issued, presentable and payable at a federal home loan
16 bank in United States dollars. Presentation may be made by the
17 beneficiary submitting the original letter of credit, including any
18 amendments, and the demand in writing, by overnight delivery.

19 (iii) If the letter of credit is for purposes of chapter 10,
20 article 1 of this title, containing a statement that identifies the
21 statewide collateral pool administrator as the beneficiary.

22 (iv) Containing an issue date and a date of expiration.

23 (c) For the purposes of chapter 10, article 1 of this title, the
24 eligible depository, if notified by the statewide collateral pool
25 administrator, is not allowed to use new letters of credit issued by a
26 federal home loan bank if that federal home loan bank fails to pay a draw
27 request as provided for in the letters of credit or fails to properly
28 complete a confirmation of such letters of credit.

29 H. The securities, instruments or safekeeping receipt for the
30 securities and instruments shall be accepted at market value if not above
31 par, and, if at any time their market value becomes less than the deposit
32 liability to that treasurer, additional securities or instruments required
33 to guarantee deposits shall be deposited immediately with the treasurer
34 who made the deposit and deposited by the eligible depository in which the
35 deposit was made.

36 I. The condition of the surety bond, or the deposit of securities,
37 instruments or a safekeeping receipt, must be such that the eligible
38 depository will promptly pay to the parties entitled public monies in its
39 custody, on lawful demand, and will, when required by law, pay the monies
40 to the treasurer making the deposit.

41 J. Notwithstanding the requirements of this section, any
42 institution qualifying as an eligible depository may accept deposits of
43 public monies to the total then authorized insurance of accounts, insured
44 by federal deposit insurance, without depositing a surety bond or
45 securities in lieu of the surety bond.

1 K. An eligible depository shall report monthly to the treasurer the
2 total deposits of that treasurer and the par value and the market value of
3 any pledged collateral securing those deposits.

4 L. When a security or instrument pledged as collateral matures or
5 is called for redemption, the cash received for the security or instrument
6 shall be held in place of the security until the depository has obtained a
7 written release or provided substitute securities or instruments.

8 M. The surety bond, securities, instruments or safekeeping receipt
9 of an eligible depository shall be deposited with the treasurer making the
10 deposit, and the treasurer is the custodian of the bond, securities,
11 instruments or safekeeping receipt. The treasurer may then deposit with
12 the depository public monies then in the treasurer's possession in
13 accordance with this article, but not in an amount of more than the surety
14 bond, securities, instruments or safekeeping receipt deposited, except for
15 federal deposit insurance.

16 N. The following restrictions on investments apply:

17 1. Public operating fund monies shall not be invested for a
18 maturity of longer than five years.

19 2. The board of deposit may order the treasurer to sell any of the
20 securities, and any order shall specifically describe the securities and
21 fix the date on which they are to be sold. Securities so ordered to be
22 sold shall be sold for cash by the treasurer on the date fixed in the
23 order, at the then-current market price. The treasurer and the members of
24 the board are not accountable for any loss occasioned by sales of
25 securities at prices lower than their cost. Any loss or expense shall be
26 charged against earnings received from investment of public monies.

27 3. Investments shall not be made in companies identified pursuant
28 to section 35-392, subsection A, paragraph 1.

29 [4. INVESTMENTS IN REAL ESTATE MAY NOT BE MADE BY THE PERMANENT
30 LAND FUNDS OR ANY FUND THAT IS ADMINISTERED BY THE STATE TREASURER. FOR
31 THE PURPOSES OF THIS PARAGRAPH, "REAL ESTATE" HAS THE SAME MEANING
32 PRESCRIBED IN SECTION 32-2101.]

33 O. If the total amount of subdivision monies available for deposit
34 at any time is less than the maximum coverage amount of the federal
35 deposit insurance corporation, the subdivision board of deposit shall
36 award the deposit of the monies to an eligible depository in accordance
37 with an ordinance or resolution of the governing body of the subdivision.
38 Deposits of less than the maximum coverage amount of the federal deposit
39 insurance corporation are not subject to the requirements of this
40 chapter.>>

41 <<Sec. 4. Section 35-326, Arizona Revised Statutes, is amended to
42 read:

43 35-326. Local government investment pool: definition

44 A. The state treasurer may maintain one or more pooled investment
45 funds for the collective investment of monies in this state. Securities
46 or other instruments in which the monies may be invested are those that
47 are provided for in article 2 of this chapter.

1 B. The state treasurer may deposit state monies in a pooled
2 investment fund and may also receive into a fund monies that are deposited
3 by any political subdivision or public entity in this state or public
4 trust that is legally authorized or required to deposit monies with the
5 state treasurer for investment. When a depositor provides monies to a
6 pooled investment fund, the state treasurer may require the depositor to
7 specify the date or dates on which it will require the monies. The assets
8 of a pooled investment fund shall be invested by the state treasurer for
9 such periods as will facilitate the return of the monies to the depositing
10 entities in accordance with the instructions received at the time of
11 deposit. Earnings shall be credited promptly after calculation.

12 C. The state treasurer shall compute on a monthly basis the rate of
13 earnings on the pooled investment fund for that month, and each depositor
14 shall be credited with an amount determined by applying the calculated
15 monthly rate to the principal amount of its deposit balance for the period
16 of the deposit. Interest shall be credited monthly.

17 D. The governing body of any political subdivision, public trust or
18 public entity, by adopting a resolution of continuing effect, may
19 authorize and request the state treasurer to invest monies for the
20 governing body pursuant to this section.

21 [E. IF THE STATE TREASURER ESTABLISHES A LOCAL GOVERNMENT
22 INVESTMENT POOL PURSUANT TO THIS SECTION, THE STATE TREASURER SHALL MANAGE
23 THE LOCAL GOVERNMENT INVESTMENT POOL BY USING ONLY EMPLOYEES OF THE OFFICE
24 OF THE STATE TREASURER AND MAY CONFER WITH THE STATE BOARD OF INVESTMENT
25 AS NECESSARY. THE STATE TREASURER MAY ENTER INTO A CONTRACT WITH A THIRD
26 PARTY AS A CONTINGENCY IF THE STATE TREASURER IS UNABLE TO CONDUCT THE
27 STATE TREASURER'S FIDUCIARY DUTY ONLY FOR THE PERIOD OF TIME THAT THE
28 STATE TREASURER'S OFFICE IS UNABLE TO CONDUCT SUCH FIDUCIARY DUTY.]

29 ~~[E.]~~ [E.] For the purposes of this section, "political subdivision"
30 means any governmental entity operating under the authority of this state,
31 including a city, town, county, school district or community college
32 district or any other entity organized under state law.>>

33 <<Sec. 5. Section 41-172, Arizona Revised Statutes, is amended to
34 read:

35 41-172. Powers and duties; administering oaths; appointment
36 of deputy state treasurer; conflicts of interest;
37 definitions

38 A. The state treasurer shall:

39 1. Authenticate writings and documents certified by the state
40 treasurer with the seal of the state treasurer's office.

41 2. Receive and keep in secure custody all monies that belong to
42 this state and that are not required to be received and kept by some
43 other person.

44 3. File and keep the documentation delivered to the treasurer when
45 monies are deposited into the treasury.

1 4. Deliver to each person depositing money into the treasury a
2 confirmation showing the date, amount and depositing agency and shall
3 provide a unique identifying number for each confirmation.

4 5. Pay warrants drawn by the department of administration in the
5 order in which they are presented.

6 6. Keep an account of all monies received and disbursed, and keep
7 separate accounts of the different funds and appropriations of monies.

8 7. Give information in writing as to the condition of the state
9 treasury, or on any subject relating to the duties of the treasurer, at
10 the request of a member of the legislature.

11 8. Deliver to the governor and the department of administration,
12 monthly, an accurate statement of receipts and expenditures of public
13 monies for the preceding month, containing a complete exhibit of all the
14 public monies received and paid from the state treasury, showing, under
15 separate heads, on what accounts and from what sources received, and for
16 what particular object or service the monies have been paid. The
17 treasurer shall deliver to the governor a similar statement on or before
18 November 1 each year for the preceding fiscal year. The statement shall
19 also include an estimate of the invested balance, including the [STATE]
20 general fund share of that balance as of June 30 of the preceding fiscal
21 year. The statements are public records available for inspection at the
22 office of the state treasurer.

23 9. On or before February 1 of each year, in coordination with the
24 director of the department of administration, submit to the joint
25 legislative budget committee a report explaining any differences between
26 the department of administration's estimate of the previous fiscal year's
27 state general fund ending balance submitted pursuant to section 35-131 and
28 the state treasurer's estimate of the invested balance, including the
29 state general fund share of that balance as of June 30 of the previous
30 fiscal year submitted pursuant to paragraph 8 of this subsection.

31 10. Exercise those specific powers of the surveyor-general as a
32 member of the selection board established under section 37-202.

33 11. Administer AZ529, Arizona's education savings plan established
34 by title 15, chapter 14, article 7.

35 12. Promote and raise awareness of financial literacy to residents
36 of this state.

37 [13. OVERSEE THE INVESTMENT ADVISORY TEAM ESTABLISHED PURSUANT TO
38 SECTION 41-181.]

39 B. The state treasurer may administer all oaths prescribed by law
40 in matters touching the duties of the office of the state treasurer,
41 subject to chapter 4, article 4 of this title, may appoint a deputy state
42 treasurer, may qualify and select investment managers or advisors pursuant
43 to section 35-318 and shall perform other duties required by other laws of
44 this state.

45 C. Employees of the state treasurer's office are subject to chapter
46 4, article 4 of this title. For prospective or current employees of the
47 state treasurer's office, the state treasurer may:

1 1. Require the submission of a full set of fingerprints for the
2 purpose of obtaining a state and federal criminal records check pursuant
3 to section 41-1750 and Public Law 92-544. The department of public safety
4 may exchange this fingerprint data with the federal bureau of
5 investigation.

6 2. Conduct a periodic review of credit standing.

7 D. THE STATE TREASURER SHALL ONLY INVEST IN SAFE INVESTMENTS THAT
8 PRIORITIZE SAFETY AND PRINCIPAL PRESERVATION BEFORE HIGH RETURNS,
9 LIQUIDITY AND YIELD.

10 E. THE STATE TREASURER MAY NOT DO ANY OF THE FOLLOWING:

11 1. USE ANY INSIDER INFORMATION THAT IS OBTAINED WHILE PERFORMING
12 OFFICIAL DUTIES TO KNOWINGLY BENEFIT ANOTHER PARTY OR FOR ANY PERSONAL
13 GAIN OR FOR THE PERSONAL GAIN OF ANY FAMILY MEMBER OF THE STATE TREASURER.
14 THE INTERESTS OF THE STATE TREASURER'S OFFICE SHALL TAKE PRECEDENCE OVER
15 ANY PERSONAL INTERESTS OF THE STATE TREASURER.

16 2. INVEST IN SPECULATIVE INVESTMENTS.

17 F. FOR THE PURPOSES OF THIS SECTION:

18 1. "INSIDER INFORMATION" INCLUDES ANY INVESTMENT DECISIONS, ANY
19 INFORMATION REGARDING ANY INTERNAL AND EXTERNAL INVESTMENT PROGRAMS OR ANY
20 ADVANTAGEOUS INVESTMENT OPPORTUNITIES THAT ARE NOT AVAILABLE TO THE
21 PUBLIC, AND ANY OTHER NEGOTIATIONS, PROPOSED TRANSACTIONS OR BUSINESS
22 INFORMATION.

23 2. "KNOWINGLY BENEFIT ANOTHER PARTY" MEANS TO CONFER, OR ATTEMPT TO
24 CONFER, A FINANCIAL OR OTHER TANGIBLE ADVANTAGE ON ANY PERSON OR ENTITY
25 OTHER THAN THIS STATE OR A FUND, PROGRAM, ACCOUNT OR OTHER BENEFICIARY
26 THAT THE STATE TREASURER IS EXPRESSLY AUTHORIZED OR REQUIRED BY LAW TO
27 BENEFIT.

28 3. "SPECULATIVE INVESTMENTS" MEANS ANY OF THE FOLLOWING:

29 (a) ANY EQUITY SECURITY NOT TRADED ON A NATIONALLY RECOGNIZED
30 EXCHANGE.

31 (b) A BOND, DEBENTURE, NOTE OR OTHER EVIDENCE OF INDEBTEDNESS THAT
32 IS NOT DENOMINATED IN UNITED STATES DOLLARS OR WHOSE ISSUER OR PARENT
33 ISSUER DOES NOT CARRY AT LEAST A BBB- RATING, AT THE TIME OF PURCHASE,
34 FROM A NATIONALLY RECOGNIZED RATING AGENCY.

35 (c) HIGH-RISK FINANCIAL INVESTMENTS ON ASSETS WHOSE VALUE IS
36 EXPECTED TO INCREASE SIGNIFICANTLY IN THE SHORT TERM AND THAT ARE OFTEN
37 BASED ON FUTURE POTENTIAL RATHER THAN CURRENT INCOME-GENERATING
38 ABILITY.]]>>

39 <<Sec. 6. Title 41, chapter 1, article 4, Arizona Revised Statutes,
40 is amended by adding section 41-181, to read:

41 41-181. Investment advisory team; membership; duties

42 [A. THE STATE TREASURER SHALL ESTABLISH AN INVESTMENT ADVISORY
43 TEAM. THE STATE TREASURER SHALL APPOINT ALL OF THE FOLLOWING MEMBERS TO
44 THE INVESTMENT ADVISORY TEAM:

45 1. THE DEPUTY TREASURER OR, IF ONE HAS NOT BEEN APPOINTED, A SENIOR
46 DEPUTY IN THE STATE TREASURER'S OFFICE DESIGNATED IN WRITING BY THE STATE

1 TREASURER TO FULFILL SUBSTANTIALLY SIMILAR RESPONSIBILITIES OF A DEPUTY
2 TREASURER.

3 2. THE STATE TREASURER'S CHIEF INVESTMENT OFFICER OR, IF ONE HAS
4 NOT BEEN APPOINTED, THE MOST SENIOR INVESTMENT PROFESSIONAL WITH DAY-TO-DAY
5 PORTFOLIO MANAGEMENT RESPONSIBILITIES DESIGNATED IN WRITING BY THE STATE
6 TREASURER.

7 3. THE STATE TREASURER'S DIRECTOR OF ENDOWMENTS OR, IF ONE HAS NOT
8 BEEN APPOINTED, THE PERSON WHO IS PRIMARILY RESPONSIBLE FOR ENDOWMENT
9 INVESTMENTS DESIGNATED IN WRITING BY THE STATE TREASURER.

10 4. ANY ADDITIONAL MEMBERS AS DEEMED NECESSARY BY THE STATE
11 TREASURER.

12 B. THE INVESTMENT ADVISORY TEAM SHALL MEET AS NECESSARY TO REVIEW
13 AND MAKE APPROPRIATE RECOMMENDATIONS TO THE STATE BOARD OF INVESTMENT
14 PERTAINING TO INVESTMENT PERFORMANCE AND STRATEGIES AND TO PRIORITIZING
15 SAFETY AND PRINCIPAL PRESERVATION BEFORE LIQUIDITY AND YIELD.]>>

16 Enroll and engross to conform

17 Amend title to conform

JOHN KAVANAGH

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